

## **EXTRA- CONTRACTUAL LIABILITY LAW**

### **CHAPTER ONE – DEFINITION AND PRINCIPLES OF NON-CONTRACTUAL LIABILITY LAW**

**Non-contractual liability law** is a law that gives remedy by awarding compensation to the victim or ordering restitution or injunction. Principles of non-contractual liability law are;

- a. Act or omission
- b. Damage
- c. Causal relationship between the act or omission and the damage suffered by the victim
- d. The damage should be a kind of harm recognized as attracting legal liability.

### **CHAPTER TWO – CONSTITUTIONAL RIGHTS**

#### **❖ Personal security**

- These are torts involving a trespass to the person. 16, 17 constn and 2038, 2040 cvc

#### **❖ Interest of property**

- No one has the right to interfere with constitutional rights of property of other persons. 40 constn and 2053, 2054 cvc

#### **❖ Economic interest**

- Every Ethiopian has the right to engage freely in an economic activity and pursue a livelihood of his choice anywhere within the national territory, and any conduct which jeopardizes the enjoyment of this right is violation of economic interest of a person. 40 constn and 2057 cvc

#### **❖ Reputation and privacy**

- Any citizen who violates any legal limitations on the exercise of these rights may be held liable under the law. Constn 24, 26, 29

### **CHAPTER THREE – CONDUCT THAT GIVES RISE TO LIABILITY**

#### **CONDUCT IS AN ACT OR OMISSION.**

##### **❖ INTENTION AND NEGLIGENCE**

**Intention** refers to the defendant's knowledge that the consequences of her conduct are bound to occur, where the consequences are desired or, if not desired, are foreseen as a certain result. Hence, intention exists on;

- a. The defendant knows that the consequence of his/her conduct are bound to occur or
- b. Where the defendant desires the consequences or

- c. Where the defendant may not desire but foreseen the result of her action or omission.

**Negligence** – if a person failed to act in a reasonable manner. thus to say negligence exists, four conditions are supposed to exist;

- a. The defendant must have owed the plaintiff a duty
- b. The defendant must have breach that duty
- c. The breach of that duty must be the actual as well as legal cause of the plaintiff's injury
- d. That injury must be one that the law recognizes and for which money damages may be recovered.

**Reasonable duty** = is a standard of ordinary skill and care, based upon the specific facts of each individual case. The driver have to use belt, control his car speed and have not drink at the time he drive the car, can be an example of reasonable duty.

#### ❖ REASONABLE AND PRUDENT PERSON

There are three requirements which help us to define what a reasonable and prudent person is;

- a. Who have knowledge to the work he/she done
- b. An investigation over the safety of working condition and working materials or equipments and also the work
- c. Who can put judgment or examination about what measures have to be taken if there any accident or is there any damage because of the work done or the extent of damage and so on, before the occurrence of the damage.

**Unforeseen harm** is an exception to reasonable and prudent person.

#### ❖ STATUTORY STANDARD

The law solves the problem of subjectivity by providing a standard contained in a statute. The majority rule is that breaching the statutory standard is negligent per se. negligent per se is inherent negligent, i.e. negligence without a need for further proof. E.g. when it begins to get dark, all drivers are required to turn on their head lights.

## CHAPTER FOUR – CAUSATION AND REMOTENESS OF DAMAGE

**Causation** is a link b/n the defendant's conduct and the plaintiff's damage. A causation problem occurs when a number of factors have been injured in the way she was but for the defendant's fault.

**Remoteness** is used to set the limit of legal accountability of the defendant. There are conditions where ‘even if the defendant’s act accused’. That is, if the kind of damage was unforeseeable consequence of the act, the damage is said to be too remote. Here to determine whether the damage was too remote or not, the court stated the fact that damage was the direct result of tortfeasor’s act, if the damage was a direct consequence of the negligent act, the damage is not too remote.

❖ EXCEPTIONS FOR FORESEEABILITY TEST;

1. The egg-shell-skull rule

- Whether the plaintiff is suffering from a latent physical or psychological predisposition to a particular form of illness, which the harm inflicted by the defendant triggers off, that his negligence has produced. This condition, where the injury to the plaintiff merely aggravated a preexisting nervous condition. ( ወዲያው ከተፈጠረው ጉዳት ሌላ በዚያው ምክንያት እየቆየ የሚከሰቱ ችግሮች).

2. Economic loss consequent on physical injury

- This is a condition where one single conduct causes two injuries, and the one is not foreseeable by the tortfeasor. As per Ethiopia non-contractual liability law, a victim who suffer both physical and economical loss should sue the defendant for both claims at the same time (simultaneously). 2151 cvc

3. Psychiatric illness

- If a physical injury brings about the victims psychiatric illness, even though the defendant will not foresee that, he/she will be liable for the psychiatric illness. 2114 cvc

4. Intentional torts

- Where someone makes maliciously false statement about someone to a third party, which results in that someone suffering loss, we can call it intentional tort. Contrary to this, a non-intentional tort occurs where committed by an actor who knows what she is doing and the can be committed unintentionally or inadvertently (battery, defamation ...).

5. Statutory torts

- Discrimination based on race, religion, sex, nationality, disability ... labor proclmn 184(2)(d) constn 25, 35, 36, 39 cvc 2035
- Federal civil servant procclmn 3(1), no discrimination among job seekers or civil servants shall be made in filling vacancies because of their ethnic origin, sex, religion, political outlook, or any other ground.

## CHAPTER FIVE – BOUNDARIES OF NON-CONTRACTUAL LIABILITY LAW

### 1. Non-contractual liability law Vs law of contract

- In case of contracts, the obligations emanate from the agreement made b/n the parties, while the obligation of non-contractual liability emanates from the law. 1675, 2075
- In case of contract law there are certain people who are exempted from performing their part of obligations, for instance, minors. No exception is, however, made in non-contractual liability law. 317, 2030, 2099
- Breach in contract is established by simply showing that the performance promised has not been materialized without showing the promise's fault. In non-contractual liability law, however, liability is established by demonstrating the defendant's fault.
- In case of contract where it is established that the breach is intentional or due to grave fault, the compensation shall be increased to cover the damage, which is greater than the normal damage. However in the absence of intentional fault non-contractual compensation for wrongful harm may sometimes be decreased. 1801(2), 2101, 2091
- Limitation of action in contract is 10 years, while in case of non-contractual liability it is 2 years. 1845, 1846, 2143
- A court that has jurisdiction in case of contract is a court at the place where the contract is made or to be performed. While in case of non-contractual liability the court at the place where the wrong was done has jurisdiction. Cvp 24(1), 27(1)

### 2. Non-contractual liability law Vs criminal law

- Criminal wrong gives rise to non-contractual liability 407, 543, 559, 580, 602 crc.
- The criminal wrong doer may end up in jail or be punished with fine or both. In case of non-contractual wrong, the wrong doer may not go to jail. Rather he/she will be obliged to pay compensation to the victim or be ordered to restitute the thing he/she has taken away from the victim or be ordered to refrain from perpetuating the wrong.
- In criminal case, the parties are the offender and the state. In non-contractual liability case, the parties are the victim and the offender who are civilians.
- The object of criminal prosecution is to punish a person who has been duly tried and convicted of a criminal offence. While the purpose of an action in the civil courts is to obtain compensation for the loss sustained by the plaintiff.

## CHAPTER SIX – ETHIOPIAN NON-CONTRACTUAL LIABILITY

### 1. SOURCES AND TYPES OF LIABILITY

- The sources of non-contractual liability law are **three**;
  - a. Fault (offence) 2028 – 2065 cvc
  - b. Strict liability (liability irrespective of fault) 2066 – 2089 cvc
  - c. Vicarious liability (where a third party for whom a person is responsible incurs liability) 2090 – 2132 cvc

## **A) LIABILITY FOR FAULT 2028 – 2065 cvc**

Hence when an act or forbearance of an individual is in a manner or in a condition which offends morality or the usual standard of good conduct, we say that person is at fault. As per Art 2029 the types of fault are;

- a. Intentional positive act
- b. Intentional forbearance
- c. Negligent positive act
- d. Negligent forbearance.

**Fault shall be assessed without regard to the age or mental condition of the person concerned 2030(3).**

### **❖ PROFESSIONAL FAULT 2031**

- Profession is an activity for the proper exercise of which a special training, skill and knowledge is required. A professional is someone who practices profession. A person practicing a profession shall observe the rules governing that practice. Therefore, if he/she fails to observe the rules of the said profession, fault is committed. → lawyer, doctor, driver, accountant ...
- The rule for the profession could be written or it may be written but is simply recognized by the professionals. If the professionals' rules are not written, we should call in an expert witness.

### **❖ INTENTION TO INJURE 2032**

- This is an area where the right of an individual is restricted or controlled. A fault is committed where we use rights with intent to injure another. The person does not abuse where;
  - a. His/her main purpose is not gain to herself but harm to another
  - b. His/her personal gain is less proportional to that of the damage

### **❖ DIVERSION OF POWER 2033**

- There are two types of power;
  - a. Given in the interest of a private individual
  - b. Given to an individual in the interest of the public.
- In any case, if such person who is conferred with such power use the power in his interest or to the benefit of a third party we say there is a diversion of power. The power could emanate from the law (guardian of a minor ...) or from the decision of the court (power of a liquidator ...). therefore, if the guardian or the liquidator uses the power entrusted to his/her in his/her own interest then we say there is diversion or abuse of power and it is a fault.

### **❖ PURPOSE OF RIGHTS 2034**

- The manner in which a right is used may not be challenged on the ground that it is contrary to the economic or social purpose of that right.

#### ❖ INFRINGEMENT OF LAWS 2035

- Anyone who is infringing proclamation, directives and regulations is at fault. Ignorance of law no excuse.

#### ❖ CHAIN OF COMMAND (SUPERIOR-SUBORDINATE RELATIONSHIP) 2036

- There are three approaches;
  - a. Obeying the law – Britain
  - b. Obeying the order and forgetting the law (blind obedience approach) – the presumption is that, the superior knows the law
  - c. Mixed approach (obeying both the law and the order and prefer the right) 2036
- Conditions;
  - = there must be a superior-subordinate relationship
  - = superiority should be in authority not in rank
  - = the authority should emanate from the public law
- Thus, the subordinate is liable where; 2036(2)
  - a. If the subordinate acts on an order given by a superior in rank but not by superior in authority
  - b. If a superior in authority gives the order but the executants exceed the order or cause additional harm by improper execution
  - c. Where the subordinate is aware of the criminal nature of the order and carries out the order cr 74
    - = but exceptionally, where the doer was placed in such a position that he could not discuss the order received or act otherwise than he did, in the circumstances of the case, and in particular having regard to the strict exigencies of administrative or military discipline.
- Impossibility forms to disobey;
  - a. Fear of arrest
  - b. Dismissal from a civil office

#### ► Non-performance of contract does not amount to non-contractual liability 2037.

#### ❖ SPECIAL CASES

##### 1. TRESPASS TO PERSON

##### A) Physical assault or battery 2038, 2039

- Doing something which includes in another reasonable fear and apprehension of immediate violence (directly applied force without lawful justification or excuse for acting that way). Causing damage is not a pre-request to be liable in this case. This is known as **injure sine damno** in Latin.
- Defenses are;

- a. Unforeseen objection 2039(1)
  - b. Self defense 2039(2) crc78
  - c. Corporeal punishment 2039(3) – called lawful chastisement which is an act used to punish someone for misbehaving. **But it is questionable with the FDRE constitution Art 36(1)(e) that children are free of corporeal punishment or cruel or inhuman treatment.**
  - d. A dangerous lunatic 2039(4)
  - e. Any other justification 2039(5) – this is where the act of the defendant is justified in the eyes of a reasonable person.
- B) Interference with the liability of another (false imprisonment) 2040 - 2043
- It is a detention of one person by another against the will of the former and without just cause. The detention should not necessarily be for a long period to say there is interference and material injury is not pre-request.
  - Defenses;
    - a. Lawful authority 2041 – where the constraint has been imposed on a person in the legal custody of the defendant and for enforcing the authority conferred upon the latter by law.
    - b. Criminal offence 2042 – this is done to prevent a crime.
    - c. Bail 2043 – a person who has bail for another may lawfully interfere with the liberty of the person on bail where he has good reason to believe that he is prepared to abscond.
- C) Defamation 2044 = 2109
- ✓ Public concern 2046
    - Expressing an idea of public concern is not defamation (fair comment). It is where;
      - = the statement should be of opinion, not a statement of fact
      - = the expression should be of public interest, rather than private interest
      - = the holder holds that opinion honestly and should not act maliciously.
  - ✓ Truth of the alleged fact 2047
    - In principle if what someone states is true, there is no defamation provided this is not done with intent to injure.
  - ✓ Immunity 2048
    - No liability shall be incurred in respect of utterance made in parliamentary debates or in the course of legal proceeding. Immunity or privilege is given to certain persons, like members of parliament, constn 54(5).
  - ✓ Publication 2049
    - The defendant may not be liable provided that;
      - a. He/she has acted without intent to injure and without negligence
      - b. At the request of the plaintiff, he/she publishes immediately a withdrawal and an apology

## 2. TRESS PASS TO GOODS

### ✓ Tress pass 2053

- Where without due legal authority, someone force his/her way on the land or into the house of another against the clearly expressed will of the lawful owner or possessor of the land or the house.

### ✓ Assault on property 2054

- Where **without due legal authority**, he/she **takes possession of property against the clearly expressed will** of the lawful owner or possessor of the property.

## 3. INTERFERENCE AGAINST ECONOMIC INTEREST

### A) Pre-contractual negotiations 2055

- Before they conclude contract, parties make negotiations. This is done by expressing their intentions to enter into a contract. When one declare his intention, he may induce others to incur expenses and the decline from entering in to the contract, and this is an offence.

### B) Inducement to breach of contracts 2056

- Whosoever is aware of the existence of a contract b/n two other persons commits offence where he/she enters into a contract with one of those persons thereby rendering impossible the performance of the first contract.

### C) Unfair competition 2057

- Pushing inaccurate information about other competitors, or any false statement in the course of business with a view to discredit to a competitor, misleading customer by using the same trade mark, same commercial name, or same container is unfair competition, which is generally a dishonest practice used by the defendant. Cmd 126, 127, cvc 2127

### D) Simulation 2058

- Simulation is a deliberate making of certain conditions that could exist in reality.

### E) False statement (deceit) 2059

### F) Exception 2060

- The provider of that information may not liable where the false information is supplied orally with the intention of helping others. Thus the person supplying incorrect information shall not be liable where; the statement made by him relates to the qualification, conduct, and solvency and was made with the object of securing credit, money, or goods to that person, i.e. with the intent of helping.
- Thus witnesses who testify the occurrence or non-occurrence of a given event or to the existence or the non-existence of a given fact shall guarantee the accuracy of their statements. If they could not do that they would be liable to those who acted on the faith of such statements.

- A witness who knowingly gives the authorities inaccurate information in relation to criminal proceedings or investigation is punishable with simple imprisonment. 446 crc
- Witness immunity is the right of not being sued and not being liable for what one has said as a witness in judicial proceedings cvc 2138.  
= members of government, members of parliament and judges 444 crc
- Witness has the right to bring recourse against whosoever led them into error provided that they acted in good faith.
- **2062 advice or recommendation** – if the conduct goes beyond giving advice or making recommendations and causes to damage the adviser (giver) becomes liable.
- ✓ Seizer of another's property or distraint 2063
  - If the property that is held by the creditor is disproportionate to the value of the debt, this act is a fault.
- ✓ Execution of a court order 2064;
  - A court gives order for sale of judgment debtor's property to execute its judgment by giving a valid execution order. The execution officer, however, shall be liable where;
    - a. He/she executes the court order that is not made in prescribed form
    - b. The execution officer exceeds the instruction in the order
    - c. The execution officer carries them out without due regard for the provisions of the law
- ✓ Prescription 2065 -
- 🚩 OTHER INTERESTS
- ✓ Injury to the right of spouses – this is a condition where someone induces one of the spouses to leave the other against the will of the other person. 2050
- ✓ Duty to educate and supervise – where a person has responsibility to educate and supervise an individual who is under his/her control or entrusted to his/her fails to carry on this responsibility in “I do not care style” it is said he/she has committed fault.

## CHAPTER SEVEN – LIABILITY IRRESPECTIVE OF FAULT (STRICT LIABILITY)

1. Liability for the types of activities which the defendant per se does 2066 -2089
2. Liability for bodily harm or injury 2067
3. Liability for the types of instruments that caused damages 2071 – 2085
  - a. Liability for animals
  - b. Liability for buildings
  - c. Liability for motor vehicles and machines
  - d. Liability for manufactured goods

❖ Necessity 2066

- Where there is imminent danger against property, oneself or another person, one may cause harm to another person to avoid that danger, and then becomes civilly liable 2066 cvc, but does not have criminal liability 75 crc. The interest that one saved should be greater than that which was damaged).
- But the damage is caused by the fault and reason of the injured; the doer of the action is not liable.

❖ Bodily harm and defenses 2067

- Includes all conducts which inflict bodily harm. But there are defenses;
  - = where the act causing the harm was ordered by law crp 56 = 18, 19
  - = where it is done in legitimate self defense
  - = where the harm is due solely to the victim's fault (no contribution is made by the offender to cause that injury).

❖ Sport activities 2068

- Where the one who causes the damage observes the rules of the game he/she may not be liable. The rationale behind this is what is called voluntary assumption of the risk. If there is a deceit or gross infringement of rules of the sport the person who causes the injury shall be liable.

❖ Dangerous activities 2069, 2070

- Creation of abnormal risks;
  - a. Storing or using explosives or poisonous substances
  - b. Establishing high-tension electric transmission lines
  - c. Modifying the natural lie of the land
  - d. Engaging in exceptionally dangerous industrial activities.
- Thus the owners are liable without the victim establishing fault.
- No liability shall be incurred where the value of neighboring property is reduced in consequence of an abnormal risk being created, unless there is fault of the defendant.

🚦 TYPES OF INSTRUMENTS

A) Liability for animals 2071 – 2076

- Animals can be **ferae naturae** (fierce by nature) or **mansuetae naturae** (tame by nature). In common law the keeper of the ferae naturae is strictly liable for the damage caused by the animal, for knowledge of its dangerous propensity is being presumed. This is not true for mansuetae naturae, for the keeper is liable for the damage caused by the animal if science or knowledge of its dangerous propensity could be proved.
- As per Art 2071, the owner of an animal shall be liable for any damage caused by the animal notwithstanding that it has eluded his control accidentally or the damage caused was unforeseeable.

- ✓ Custodian (holder) – the holder is a person who uses the animal for his/her personal benefit and is liable for any damage caused by that animal while it is under his/her holding. If you could borrow, hire or train an animal and if there any damage you are liable. The employee attending the animal and a person making use of animal for the owner's account or for the account of another person is not liable unless the damage is caused due to fault committed by him/her. 2072
- ✓ Transfer of liability – a person who suffers damage by an animal may bring action against the owner through the damage was caused while it has been in charge of someone else. Similarly, the courts may order the owner to make the damage good. The owner who paid the victim may recover from the person in whose charge the animal was when it caused the harm. 2075
- ✓ Transferring the ownership – in case of the owner, he/she can relieve herself of his/her liability by surrendering the ownership of the animal to the person who suffered damage provided that the damage is not the consequence of an offence (fault) committed by the owner or by a person for whom he is (child or employee) or where the animal is domestic. In case of a person in whose charge the animal is he/she can relieve himself by paying the value of the animal at the time when the damage was caused provided the animal is domestic animal. The owner may not relieve himself of liability by simply transferring the ownership of the animal where the damage is the consequences of an offence committed either r by the by himself or by a person for whom he is liable. Similarly, where the damage is the consequence of an offence committed by a person who is in charge of the animal, the person's liability may not be limited only to the value of that animal. 2074
- ✓ Victim's guarantee – animals may cause damage to crops or gases. The owner or holder of these interests may seize the animals as a guarantee until compensation for the damage is paid for her. Where the animals brought damage disproportionate to their value, the holder of these interests could kill and notify the owner. 2076

#### B) Liability for buildings 2077 – 2080

- For whatever reason the building is collapses or is demolished and brought damages, the owner is liable. Where the reason for damage is the fault committed by the person who built the building or occupier, the owner, after paying the compensation to the victim, may claim compensation from those persons.
- There is a mechanism of transferring the ownership of the building to the victim in Art 2078. A person endangered by another's building may require the owner thereof to take the necessary measures to avert the danger 2079. The owner is liable for any damage caused by the objects failing from the building 2080.

### C) Machines and motor vehicles 2081 – 2084

- The owner of machines and motor vehicles are liable for the employees in accordance with labor proclamation 377/2000, while for the others the owners of the machine or vehicle shall be liable for any damage caused by the machine or vehicle in accordance with extra-contractual liability. They are liable even if the damage was caused by a person who was not authorized to operate or handle the machine or drive the vehicle 2081. The **defenses** are;
  - = where the damage is due solely or partly to the fault of the victim
  - = at the time, when the damage was carried, the machine or vehicle had been stolen from his/her.
- An agent who has charge of the machine or vehicle for the owners account or for the account of another person shall be liable if the machine or vehicle caused damage due to his/her fault 2082. the owner who paid compensation to the victim may recover fully from the person in whose keeping the machine or vehicle was, provided he/she has not committed an offence or a person for whom he/she is liable has not committed a fault 2083.
- Finally, two motors could collide in a road accident, or chiefly, to the fault of one of the drivers, it shall be deemed each driver has contributed equally to the accident. Consequently, the owner of each vehicle, or person responsible for it, shall bear half the total amount of the damage resulting from the accident 2084.

### D) Liability for manufactured goods 2085

- A person who manufactures goods and sells to the public for the profit shall be liable for any damage to another person resulting from the normal use of goods.

#### ❖ DEFENSES OR JUSTIFICATIONS FOR STRICT LIABILITY

- Victims fault 2066, 2067, 2081, 2086
- If the vehicle or the machine was stolen 2081
- If there no fault on the side of the defendant and persons under his control 2087

## CHAPTER EIGHT – VICARIOUS LIABILITY

Vicarious liability is liability imposed on one person for the wrong doing of another. Under the Ethiopian tort law parents and others are liable for the wrongs done by a minor child 2125. The state is liable for its civil servants and employees acts 2126. Bodies corporate are liable for their representatives; agents or paid workers act 2129. The employers are held liable for the acts of their employees 2130. The managing editor of the newspaper, the printers of the pamphlet or publisher of a book is liable for defamation committed by the author they printed text 2135.

#### ❖ **Rationales** for vicarious liability;

- a. **Control test** – those who are made liable the ability to control the behavior and precise manner of the wrong doers.
- b. **Analogy with causation** – the state, employees or bodies corporate are those who ... set the whole thing in motion and that, they should bear the consequences of a third party who suffers through their employees wrongful conduct.
- c. **Deep pockets** – the parent, the state, bodies corporate and the employers are rich and it is good to sue someone of substantial means for compensations for their losses.
- d. **Economic and moral considerations** – the person who drives a benefit from the activity of another should also bear the risk of the damage inflicted by those acts.
- e. **Loss spreading** – which enables the employer spread the loss through insurance or the price of the product.

A person shall not be liable for the faults or offences committed by another while carrying out work which he has asked him to do, where the author of the offence is not subject to the former's authority and is to be considered as having retained his independence 2134.

## CHAPTER NINE – DAMAGE AND MODES OF COMPENSATION

### ❖ DAMAGE

The word damage derived from Latin word 'damnum', meaning loss or species of loss. It is a harm or injury caused to a person's legitimate interest. It can be **classified** in to **two**;

- a. Material damage
  - Material damage is an injury caused to a person's economic or financial interest (loss of earnings ...). It has two main components;
    - 1. Present (actual) material damage
    - 2. Future material damage
- b. Moral damage
  - The term moral damage refers to the harm or injury inflicted to a person's feeling or non-pecuniary interest. It is an injury caused to a person's honor, reputation or personal feeling of the victim.

### ❖ MODES OF COMPENSATION

- 1. The rule of pecuniary compensation
  - Pecuniary compensation means compensation by the means of monetary value. It is compensating the victim by means of an equivalent sum of money 2090.
- 2. The rule of non-pecuniary compensation
  - The court may subject to the liberty persons and to the right of third parties, order in lieu or in addition to money damages other appropriate measures to make good or limit the damage. The law from Art 2118 – 2123 provides;
    - = restitution

- = reparation in kind
- = retraction of defamatory publications
- = enjoining cases of unfair competition (restrain/prohibit)
- = injunction
- The author of a wrong shall make good the moral harm resulting from the wrong wherever adequate procedure exists for such redress. Pecuniary compensation for moral harm may be awarded only in cases expressly provided by law 2105. Because;
  - = moral harm cannot be measured by monetary value
  - = moral damage may be better made good by non-pecuniary forms of compensation
- NB: pecuniary compensation in case of moral damage is exception.**
- In the assessment of moral damage the law does not provide guide line and Ethiopian courts have discretionary power in **two** respects;
  - = in awarding the compensation
  - = in fixing the amount of the compensation.

## CHAPTE R TEN – QUANTUM/EXTENT OF COMPENSATION

### 1. Quantum of compensation in case of material damage

- a. The rule of equivalence 2090, 2091
  - The victim has the burden to establish the amount of the harm sustained and to prove the circumstances which render the defendant liable to make it good 2141.
  - There are no rules and standards in the assessment of the damage and it is the courts discretionary power. Judges shall have to be consider;
    - ✓ Equivalency b/n the damage and the compensation
    - ✓ All constituting elements/components of the damage
    - ✓ Present/actual and future damage
    - ✓ **Damnum emergens** (payments made by the victim to repair the property damaged or the medical and other expenses be incurred to heal the physical injury caused to his body) and **lucrum cessans** (gainful opportunity prevented, frustration or interruption).
- b. Departures from the rule of equivalence
  1. Compulsory mitigation
    - As exception to the rule of equivalence b/n damage and compensation, there are situations where the quantum of damage (compensation) may be reduced or should be reduced to a certain amount, which is less than the material damage sustained by the victim.
    - The concept of compulsory mitigation is, where the damage is caused to the victim due to his own partial fault, then he is entitled to partial compensation 2098

- **NB: where the damage is caused solely due to the victim's fault, there shall be a complete denial of compensation as compensation may to be claimed or contrary to good faith against an innocent person 2097.**

## 2. Discretionary mitigation

- Where the fault giving rise to the liability is committed by a person who was not in a state to appreciate the wrongful nature of his conduct, because of age, mental condition ... 2099.
- Where the damage was caused under the chain of command 2100 = 2036(2)
- Unforeseeability of the damage
- Compensation difficult to determine 2102
- Acts of necessity 2103

## 3. Optional mitigation

- In optional mitigation cases, there are alternatives other than paying the damages otherwise due by him 2074, 2074, 2078 → surrender of animal, building or pays an equivalent sum of money due.

## 4. Nominal damages

- Nominal damages are awarded where the claimant has established his case, particularly in relation to torts actionable per se, such as trespass, but has not shown there is any actual loss 2104.

## 2. Quantum of compensation for moral damages

- Ethiopian civil code does not allow monetary compensation for moral damage beyond the ceiling-figure-one thousand ETB 2116(3)
- Copy rights and neighboring rights proclamation 410/2004, Art 34(4) provides one hundred thousand ETB compensation for moral damage
- Cessation bench file no 11042, awarded ten thousand ETB in the form of moral compensation to a woman whose moral damage is terminated due to an act of adultery of committed by her husband during marriage.

## ❖ DAMAGES FOR BODILY INJURY

- General damages = refers to the monetary award granted to a person who suffered loss of amenity, pain and suffering due to the tortious acts of another person. Art 2067 introduce the concept of strict liability for causing bodily injury regardless of the magnitude of the injury. Art 2113 recognizes the compensability of bodily injury resulting in loss of amenity, pain and suffering.

## ❖ PECUNIARY LOSS

- Loss of earnings, medical expenses and other outlays. The loss may be present (actual) or future loss. 2092, 2150(2)

## ❖ INJURY OF AN EMPLOYEE

- Bodily injury that decreases or impair the capacity of the person injured (employee) to work have the following effects as to labor proclamation 377/2000;

- a. Temporary disablement
  - b. Permanent partial disablement
  - c. Permanent total disablement
  - d. Death (not the concern of this section).
- ❖ INJURY OF SELF EMPLOYED PERSON
  - Self employed person includes all classes of persons who pursue their livelihood in any independent activity other than employment (2512, 2610, 2632, 2639, 2653, 2672 ...). Depending on the nature of the bodily injury, the victim's pecuniary injury can be roughly assessed having regard to his pre-injury earnings.
- ❖ INJURY OF NON-EMPLOYED PERSONS
  - It refers persons who are neither employees nor self employed. The reason for their unemployment could be, among other things, lack of incentive, opportunity or ability to work.
- ❖ COMPENSATION FOR FACTUAL ACCIDENTS
  - As a principle, no action for compensation lay for the death of another except by dependants nominated under the law. The way compensation awards for fatal cases are treated and the purpose of it serves are different. The purpose of an award damage under the fatal accidents act is to provide the widow and other dependents of the deceased with a capital sum which with prudent management will be sufficient to supply them with material benefits of the same standard and duration as would have been provided for them out of the earnings of the deceased had he not been killed by the tortious of the respondent.
  - Art 2095 entitled specified dependants of the victim of a mortal accident with the right to institute a civil action for compensation for the loss of economic support they suffered by the death of the person providing such support. → one of the spouses, ascendant, descendant. But other persons cannot claim compensation by their own name 2096.
- ❖ FINALITY OF ASSESSMENT AND APPEALS
  - Art 2150 requires assessment of the damage to be made on the day on which the court renders its final judgment.
    - a. **Provisional judgment** = can be granted by the court in exceptional circumstances where it is impossible to finally assess the damage on that date. It is to provide an interim compensation to a victim who is in urgent need of means of livelihood.
    - b. **Final judgment** = it is where the extent of damage is ascertained and valued in terms of money, the court is required to pass its final judgment. It implies two things; **first**, res judicata (a person cannot bring fresh action) and **second**, the absence of statutory right of appeal 2152.
  - **No appeal shall lie against the judgment of the court of first instance relating to the amount compensation 2152. Exceptions 2153;**

- a. The court has considered circumstances which it should not have taken into account or has failed to consider circumstances which it should have taken into account or
- b. The amount of compensation fixed by the court is manifestly unreasonable and could only have been inspired by prejudice or anger or
- c. Such amount is due to an error of calculation on the part of the court.

❖ **MODES OF PAYMENT**

**1. Lump sum payment – it is principle (rule)**

- Art 2154 deals with the possibilities where the court may order compensation awards to be disposed. This inference can be made that lump sum payment of compensation is the ordinary rule of compensation in Ethiopia and periodical allowance is an exception.

**2. Periodical allowance – it is an exception**

- It is structural settlement.

## **CHAPTER TWELVE – ACTION FOR COMPENSATION**

### **1) INDEPENDENT CLAIMANTS**

- These persons are who can institute a civil action for compensation on their own behalf.
- a. **The victim himself 2146** – the right to sue cannot be transferred or assigned to a third party, but after he win the case, he is at liberty to transfer or assign fully or partly the compensation awarded to him to a third party 1962 – 1975. **Exceptions;**
  - Where a girl or a woman has been raped, equitable compensation may also be awarded to the husband of the woman or to the family of the girl. 2114
  - The husband of the woman can institute an independent action for compensation against the harm doer. 2115
- b. **Next of kin in case of mortal accidents**
  - 1. Dependents of the deceased for the compensation of material damage (one of the spouse, descendants and ascendants) 2095.
  - Brothers and sisters cannot claim, even if they are dependent on him 2096.
  - **2095 the term ‘descendant’ cover an adopted child?**
  - 2. Family of the deceased 2116, 2117

### **2) DERIVATIVE CLAIMANTS**

- Those who can bring action for compensation by substituting the victim of the tort (subrogation).
  - a. **Heirs of the victim 2144** – heirs of the victim can claim material damage but cannot claim moral damage sustained by the victim. As an **exception** they can claim compensation for moral damage where the victim has initiated an action to such effect during his life time.

- b. **Creditors of the victim 2145** - → 1993, 2093, 2094, cvc = 678, 683 cmd
- ❖ **WHO MAY BE SUED IN TORT?**
  1. The author of the damage 2136
  2. The vicarious defendant 2124, 2126, 2029, 2030, 2035
  3. Heirs of the person liable (the liability an heir may not exceed the value of the property developed to him by virtue of the succession).
- ❖ **IMMUNITIES**
  - Art 2138, no action for liability may be brought because of facts connected with their office against; 54(5) constitution
    - a. A member of the Imperial Ethiopian government or
    - b. A member of Ethiopian parliament or
    - c. A judge of Ethiopian courts
- ❖ **PERIOD OF LIMITATION**
  - In principle two years and exceptionally it may be extended 2143.

## **CHAPTER THIRTEEN – UNLAWFUL ENRICHMENT**

A person who has been unjustly enriched at the expense of another is required to make restitution to the other 2162. The law of unlawful enrichment comprises **three basic elements**;

- a. Benefit acquired by the defendant
  - b. At the plaintiff expense (from the plaintiff resources)
  - c. In an unjust manner
    - Art 2063 – restitution is not due to the extent to which the defendant can show that he is no longer enriched at the time of the claim for restitution (loss of restitution).
- ❖ **Grounds for unlawful enrichment;**
    - A. Undue payment 2164
    - B. Expenses (costs incurred for the protection of the things and when the owner fails to cover these costs) 2168

= right of retention (seizure of the thing up to restitution of payments incurred for the protection of the things) 2174.

